

market. One might consequently be inclined to postulate that the rise from the 1987 low is actually wave B of a Supercycle degree bear market. If that were so, the advance since then would not constitute a “rare extension of the time element” at all, but simply an 8-year B wave. Though in comparison to wave A, it is far larger than normal, the wave structure from the low is satisfying as a three-wave pattern (labeled (A)-(B)-(C)), as you can see in Figure 4-2. Though this interpretation plays some havoc with the “right look,” it well communicates the dreamlike spirit of the rise from 1987 in comparison to the powerhouse rise of 1982-1987.

1995: The Ideal End of the Time Extension

Regardless of the reason, Fibonacci time progressions today suggest that the 1987 top was only the first of two peaks in an 8-year topping process. The 1990 edition of *Elliott Wave Principle* observed that if the advance resumed, then “the bull market probably won’t peak until 1995.” So at the start of this decade, 1995 was positioned to be the most important year of the 1990s, just as 1987 was positioned a decade earlier to be the most important year of the 1980s. Let’s examine why.

While 1987 was tied to most turns in Supercycle wave (V) and in the Grand Supercycle, Figure 4-3 illustrates that 1995 is tied by a Fibonacci number of years to turns in Cycle wave V, specifically to

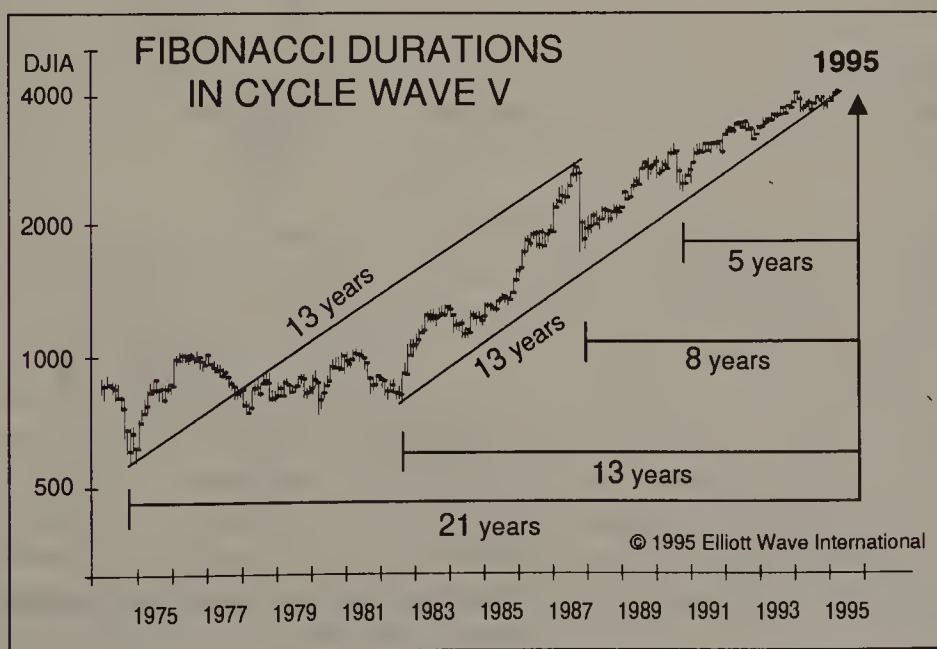


Figure 4-3